

Please Send Money

increases dramatically the longer you wait. For example, if you wait until you are thirty years old, you will need to save \$263 a month. If you wait until you are forty years old, you will need to save \$754 a month, and if you wait until you are fifty years old, you will need to save \$2,413 a month. This chart also shows how you can reach the \$1 million goal by age sixty-five if you prefer to make a one-time investment. You may choose to use an inheritance, bonus from work or equity from the sale of a home towards this one-time investment:

Age	One-Time Investment	Monthly Investment	Annual Investment
20	\$13,719	\$95	\$1,391
25	\$22,095	\$158	\$2,259
30	\$35,584	\$263	\$3,690
35	\$57,309	\$442	\$6,079
40	\$92,296	\$754	\$10,168
45	\$148,644	\$1,317	\$17,460
50	\$239,392	\$2,413	\$31,474
55	\$385,543	\$4,882	\$62,745
60	\$620,921	\$12,914	\$163,797

*Source: Harvard Financial Educators and the Financial Literacy Center.

Do you think it's easier to part with \$95 a month or \$2,413? The value of starting early can further be summed up by this next example. Fred and Steve are both twenty-two years old. Fred started putting \$2,000 a year into an Individual Retirement Account (IRA) for nine years, starting at age twenty-two and ending at age thirty-one. Steve waited nine years and then started putting \$2,000 a year into an IRA, at age thirty-one, for thirty-four years until retirement at age sixty-five. Assuming both IRAs earned 9 percent, who has more

